

ACHELION CAPITAL

ARMS Backtest Performance Report

Architecture AB | 58/20/14/8 | ARMS v4.0

Period: 2025-01-02 to 2025-12-31 | 249 trading days | 12 regime changes

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SCOPE: Market-driven engine only. Intelligence layer disabled. See Methodology page.

+22.3%	+20.3%	+18.9%	+3.4pp
ARMS Gross	ARMS Net (2%)	S&P 500	vs S&P Gap

Performance Summary

Metric	ARMS Gross	ARMS Net	S&P 500	QQQ	BTC
Cumulative Return	+22.3%	+20.3%	+18.9%	+22.0%	-8.7%
Annualized Return	+22.6%	+20.6%			
Annualized Volatility	23.9%				
Sharpe Ratio	0.98				
Max Drawdown	-21.0%				
2025 Return	+22.3%	+20.3%	+18.9%	+22.0%	-8.7%

Architecture & Costs

Initial Capital	\$500,000,000
Final NAV	\$611,354,446
Total Trades	264
PTRH Net Cost (Tail Hedge)	\$-450,159
PERM Income (Covered Calls)	\$2,658,346
LAEP Slippage (Execution Cost)	\$2,152,580
Avg Equity Allocation	51.7% (target 58%)
Avg Crypto Allocation	13.9% (target 20%)
Avg Defensive Allocation	13.8% (target 14%)
Avg Cash Allocation	20.6% (target 8%)

Regime Breakdown

PDS Status Breakdown

RISK_ON	176 days (70.7%)	NORMAL	140 days (56.2%)
WATCH	73 days (29.3%)	WARNING	45 days (18.1%)
NEUTRAL	0 days (0.0%)	DELEVERAGE_1	49 days (19.7%)
DEFENSIVE	0 days (0.0%)	DELEVERAGE_2	15 days (6.0%)
CRASH	0 days (0.0%)		

Methodology & Scope

Engine Modules Active in Daily Replay

Market-driven ARMS production modules fired on each trading day of the period. Decisions were made strictly from price, volatility, credit, and macro inputs available as-of date. No look-ahead. No discretionary overrides.

Module	Behavior
Macro Compass	L2 4-input composite (VIX, HY spread, PMI, 10Y) -> regime score
ARAS	5-state regime classifier with hysteresis -> equity ceiling
PDS (Drawdown Sentinel)	NAV/HWM monitor -> NORMAL/WARNING/DELEVERAGE_1/DELEVERAGE_2
FEM (Factor Exposure)	AI Capex factor concentration -> WATCH/ALERT thresholds
CDF (Conviction Decay)	Underperformance counter -> 45/90/135-day weight decay
AUP (Asymmetric Upside)	5-condition gate for directional add-ons
SLOF (Synthetic Leverage)	C10-only, RISK_ON/WATCH-only 1.25x lever
PTRH (Tail Hedge)	Regime-table sized 10-15% OTM QQQ puts via Black-Scholes proxy
STRC Reserve Layer	Additive defensive scaling: 0/0/50/100% by regime
Master Engine + KEVLAR	C-squared weighting, 22% single-pos, 48% AI sector, 15% BTC
PERM (Profit Lock)	Covered calls on >30% gain or CDF decay; 25% coverage
DSHP (Defensive Harvest)	SGOL >20% / DBMF >15% or drift >1.5pp -> SGOV
ARES (Re-entry)	4 gate conditions, 3 VARES tranches, 48h spacing
LAEP (Execution)	3-tier VIX-adjusted slippage: 8/20/40 bps
Tail Hedge Regime Table	Coverage % and STRC reserve % per regime state
Architecture AB Allocation	58/20/14/8 sleeve targets enforced
EDR + Crypto Kill-Chain	Deleveraging and crypto microstructure stress can force BTC target to 2%
CDM/Event Overlay	Market/event overlays logged from available replay feeds; external news archive disabled
MICS (Conviction Scoring)	Static portfolio snapshot scores (per April 2026 book)

Modules Intentionally Disabled (Intelligence Layer)

Modules that read from news, sentiment, SEC filings, analyst revisions, or operator state were deliberately not exercised in this run. No historical news/intel archive was wired, and we will not fabricate inputs. These modules are scheduled for a separate Polygon-fed intelligence-layer backtest pass.

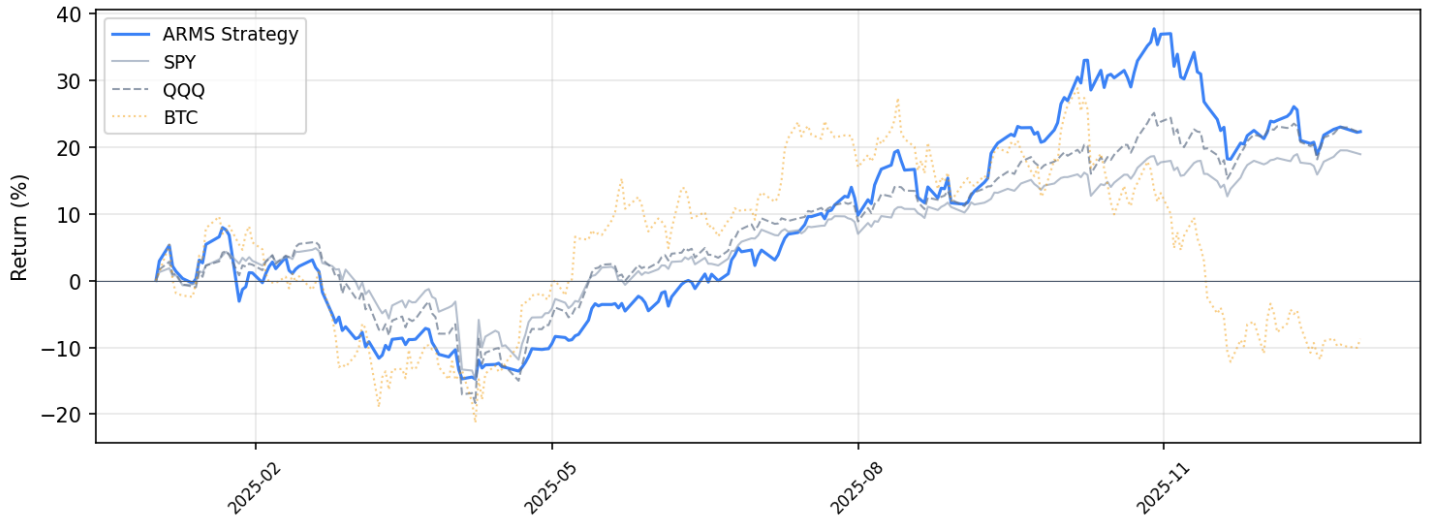
Module	Reason for Exclusion
MC-RSS / RSS bridge	News feed reactor
Sentinel bridge / SEC watchlist	Filings + macro event monitors
CDM (full)	Crisis Detection Module reading event feeds (VIX-proxy used instead)
PIM (Incapacitation)	Operator-state monitor (N/A in backtest)
TDC (Thesis Decay Calibration)	Needs analyst revision feed
Conviction Calibration	Dynamic MICS update from intel (static MICS used instead)
Systematic Scan	Universe scanner for new entries via catalysts
Thesis Retirement	Qualitative thesis-state monitor
Bridge Health / Paths	Connector telemetry (operational, not strategic)
Session Log Analytics	Meta-monitoring of operator sessions

Data Sources & Inputs

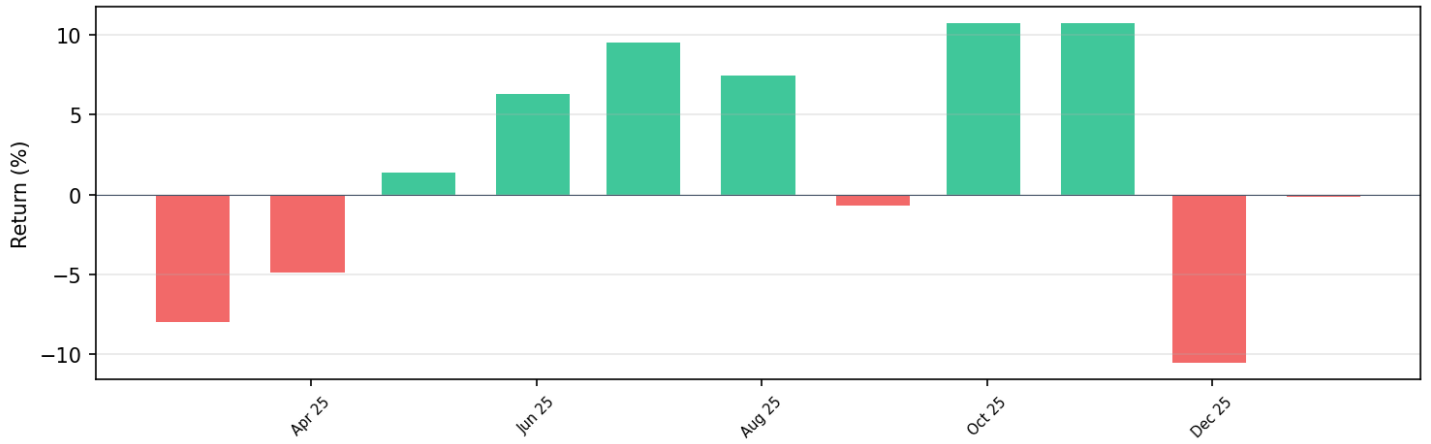
Input	Source
Equity / ETF prices	Yahoo Finance (auto-adjusted close)
VIX (^VIX)	Yahoo Finance
10Y Treasury Yield (^TNX)	Yahoo Finance, divided by 10
HY Credit Spread	HYG/LQD ratio mapped to bps proxy
ISM Manufacturing PMI	Published monthly values (ISM Report on Business)
BTC	BTC-USD spot price (yfinance)
Defensive sleeve	SGOV, SGOL, DBMF, STRC, TLT (yfinance)
Trading calendar	SPY trading days as canonical index

Performance Charts

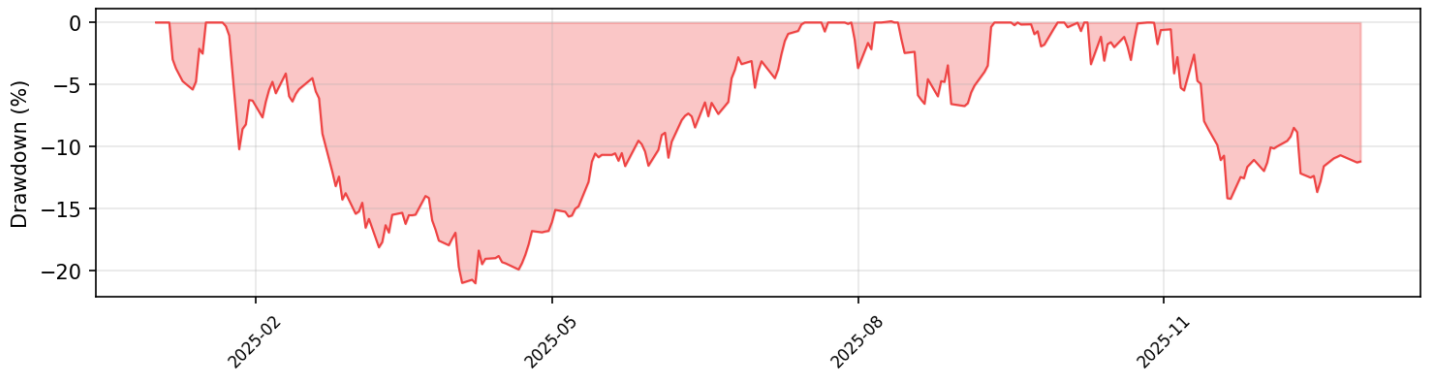
Cumulative Returns — ARMS vs Benchmarks



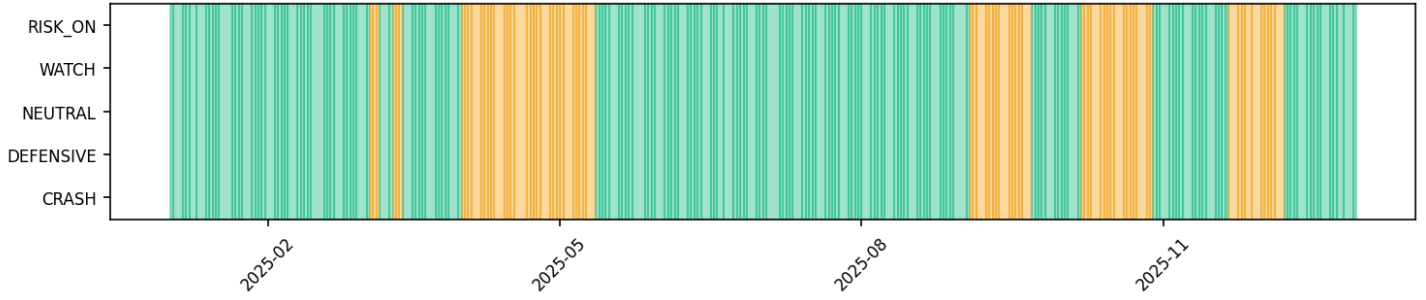
Monthly Returns



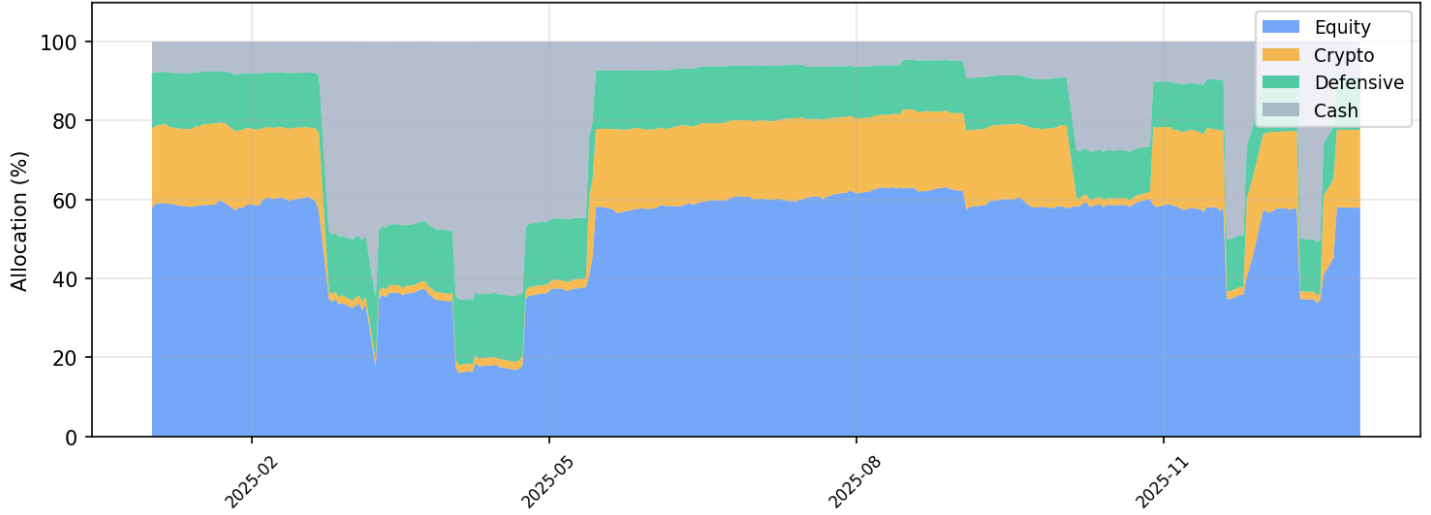
Drawdown from Peak



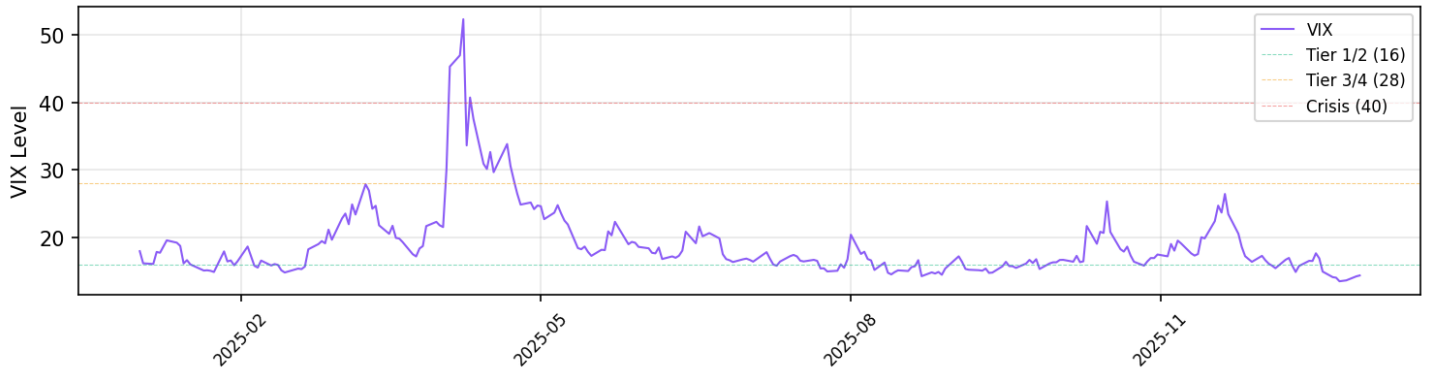
Regime Timeline



Portfolio Allocation Over Time



VIX & LAEP Execution Tiers



Monthly Detail

Month	ARMS G	ARMS N	QQQ	BTC	DEF%	SPY	Regime	Eq%	Cr%	Cash%
Jan 2025	+1.1%	+1.0%	+2.4%	+5.7%	14%	+2.9%	RISK_ON	59%	19%	8%
Feb 2025	-8.0%	-8.1%	-2.7%	-17.6%	15%	-1.3%	RISK_ON	34%	2%	49%
Mar 2025	-4.9%	-5.0%	-7.6%	-2.2%	16%	-5.6%	RISK_ON	34%	2%	48%
Apr 2025	+1.4%	+1.2%	+1.4%	+14.1%	16%	-0.9%	WATCH	36%	2%	46%
May 2025	+6.3%	+6.1%	+9.2%	+10.4%	15%	+6.3%	RISK_ON	58%	20%	7%
Jun 2025	+9.5%	+9.4%	+6.4%	+3.0%	14%	+5.1%	RISK_ON	61%	19%	6%
Jul 2025	+7.5%	+7.3%	+2.4%	+8.0%	13%	+2.3%	RISK_ON	62%	19%	6%
Aug 2025	-0.7%	-0.8%	+1.0%	-6.3%	13%	+2.1%	RISK_ON	63%	19%	5%
Sep 2025	+10.7%	+10.6%	+5.4%	+5.2%	12%	+3.6%	RISK_ON	58%	20%	9%
Oct 2025	+10.7%	+10.6%	+4.8%	-3.9%	12%	+2.4%	RISK_ON	58%	20%	10%
Nov 2025	-10.5%	-10.7%	-1.6%	-17.0%	13%	+0.2%	WATCH	46%	20%	21%
Dec 2025	-0.2%	-0.3%	+0.2%	-2.7%	13%	+0.8%	RISK_ON	58%	20%	9%
2025 TOTAL	+23.1%	+21.1%	+21.2%	-3.3%		+18.0%				

Monthly Forensic Breakdown

The pages that follow give one full page per month of the backtest. Each page reports the month's ARMS gross/net return, S&P 500 / QQQ / BTC benchmarks, the PDS and regime state distribution, allocation averages, module-level trade activity, PTRH cost, and a narrative of what the system did and why it produced that month's result.

January 2025

2025-01-02 to 2025-01-31 | 20 trading days | NAV \$500.0M -> \$505.7M

+1.14%	+2.94%	+2.36%	-1.80pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.14%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+0.97%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.94%	Avg Equity %	58.6%
QQQ	+2.36%	Avg Crypto %	19.9%
BTC	+5.70%	Avg Defensive %	13.7%
Gap vs SPY	-1.80pp	Avg Cash %	7.8%
Gap vs QQQ	-1.23pp	PTRH Cost (month)	\$18,442
Month Low DD	-10.21%	Max PTRH Value	\$24,705

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	85%
WATCH	0%	WARNING	15%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$13,600,923	\$13,601
MASTER_ENGINE	1	\$8,462,175	\$8,462
PDS	2	\$5,381,420	\$5,381
TOTAL	6	\$27,444,518	\$27,445

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 15% of month (advisory only - full ceiling retained).
- - 2025-01-27 00:00:00: PDS NORMAL -> WARNING
- - 2025-01-30 00:00:00: PDS WARNING -> NORMAL
- Activity: 6 trades, \$27.4M turnover, \$27K slippage (10.0 bps).
- UNDERPERFORMED SPY by -1.80pp. Drivers: AI book beta to QQQ underperformed SPY's broad diversification (QQQ +2.4% vs SPY +2.9%).

February 2025

2025-02-03 to 2025-02-28 | 19 trading days | NAV \$505.7M -> \$465.4M

-7.96%	-1.27%	-2.70%	-6.69pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-7.96%	Avg Effective Ceiling	89.5%
ARMS Net (2% mgmt)	-8.13%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	-1.27%	Avg Equity %	53.0%
QQQ	-2.70%	Avg Crypto %	14.0%
BTC	-17.61%	Avg Defensive %	14.3%
Gap vs SPY	-6.69pp	Avg Cash %	18.7%
Gap vs QQQ	-5.26pp	PTRH Cost (month)	\$9,442
Month Low DD	-14.26%	Max PTRH Value	\$124,578

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	68%
WATCH	0%	WARNING	5%
NEUTRAL	0%	DELEVERAGE_1	26%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$7,904,972	\$7,905
CDF	1	\$0	\$0
CRYPTO_KILL_CHAIN	1	\$83,954,841	\$83,955
MASTER_ENGINE	1	\$7,016,645	\$7,017
PDS	3	\$16,838,099	\$16,838
PDS_KILL_CHAIN	12	\$102,901,210	\$102,901
PERM	1	\$82,273	\$0
TOTAL	21	\$218,698,039	\$218,616

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 26% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
- - 2025-02-21 00:00:00: PDS NORMAL -> WARNING
- - 2025-02-24 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 21 trades, \$218.7M turnover, \$219K slippage (10.0 bps).
- UNDERPERFORMED SPY by -6.69pp. Drivers: execution slippage (\$219K).

March 2025

2025-03-03 to 2025-03-31 | 21 trading days | NAV \$465.4M -> \$442.8M

-4.86%	-5.57%	-7.59%	+0.71pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-4.86%	Avg Effective Ceiling	58.6%
ARMS Net (2% mgmt)	-5.03%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-5.57%	Avg Equity %	34.3%
QQQ	-7.59%	Avg Crypto %	2.0%
BTC	-2.16%	Avg Defensive %	15.5%
Gap vs SPY	+0.71pp	Avg Cash %	48.2%
Gap vs QQQ	+2.73pp	PTRH Cost (month)	\$0
Month Low DD	-18.11%	Max PTRH Value	\$326,056

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	71%	NORMAL	0%
WATCH	29%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	95%
DEFENSIVE	0%	DELEVERAGE_2	5%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	14	\$81,465,642	\$122,198
CDF	5	\$0	\$0
PDS_KILL_CHAIN	12	\$63,897,044	\$95,846
TOTAL	31	\$145,362,686	\$218,044

What the System Did and Why

- Regime: dominant RISK_ON (71% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 5% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 59%, minimum 30%.
- Avg equity exposure 34% (vs 58% target) - system was de-risked, holding \$48% in cash/T-bills.
- - 2025-03-10 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-03-11 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- Activity: 31 trades, \$145.4M turnover, \$218K slippage (15.0 bps).
- OUTPERFORMED SPY by +0.71pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

April 2025

2025-04-01 to 2025-04-30 | 21 trading days | NAV \$442.8M -> \$449.0M

+1.40%	-0.87%	+1.40%	+2.27pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.40%	Avg Effective Ceiling	40.0%
ARMS Net (2% mgmt)	+1.24%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-0.87%	Avg Equity %	23.4%
QQQ	+1.40%	Avg Crypto %	2.1%
BTC	+14.12%	Avg Defensive %	16.2%
Gap vs SPY	+2.27pp	Avg Cash %	58.3%
Gap vs QQQ	+0.01pp	PTRH Cost (month)	\$-579,037
Month Low DD	-21.00%	Max PTRH Value	\$472,148

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	0%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	33%
DEFENSIVE	0%	DELEVERAGE_2	67%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	12	\$71,326,005	\$106,989
CDF	4	\$0	\$0
DSHP	1	\$3,401,827	\$0
MASTER_ENGINE	1	\$2,259,795	\$3,390
PDS_KILL_CHAIN	13	\$67,295,771	\$164,250
TOTAL	31	\$144,283,398	\$274,629

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 67% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 40%, minimum 30%.
- Avg equity exposure 23% (vs 58% target) - system was de-risked, holding 58% in cash/T-bills.
- - 2025-04-03 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2025-04-24 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- PTRH net cash received this month: \$579K (puts paid out / rolled at profit). Max put MTM during month: \$0.47M.
- Activity: 31 trades, \$144.3M turnover, \$275K slippage (19.0 bps).
- OUTPERFORMED SPY by +2.27pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat.

May 2025

2025-05-01 to 2025-05-30 | 21 trading days | NAV \$449.0M -> \$477.4M

+6.31%	+6.28%	+9.18%	+0.03pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.31%	Avg Effective Ceiling	82.6%
ARMS Net (2% mgmt)	+6.14%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+6.28%	Avg Equity %	48.4%
QQQ	+9.18%	Avg Crypto %	13.4%
BTC	+10.39%	Avg Defensive %	15.2%
Gap vs SPY	+0.03pp	Avg Cash %	23.0%
Gap vs QQQ	-2.87pp	PTRH Cost (month)	\$18,363
Month Low DD	-16.08%	Max PTRH Value	\$57,649

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	67%	NORMAL	0%
WATCH	33%	WARNING	62%
NEUTRAL	0%	DELEVERAGE_1	38%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$9,941,120	\$9,941
CDF	3	\$0	\$0
MASTER_ENGINE	19	\$165,374,898	\$165,375
PDS_KILL_CHAIN	2	\$5,457,312	\$5,457
PERM	1	\$41,711	\$0
TOTAL	28	\$180,815,041	\$180,773

What the System Did and Why

- Regime: dominant RISK_ON (67% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 38% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 83%.
- Avg equity exposure 48% (vs 58% target) - system was de-risked, holding \$23% in cash/T-bills.
- - 2025-05-13 00:00:00: PDS DELEVERAGE_1 -> WARNING
- Activity: 28 trades, \$180.8M turnover, \$181K slippage (10.0 bps).
- In-line with SPY (gap +0.03pp).

June 2025

2025-06-02 to 2025-06-30 | 20 trading days | NAV \$477.4M -> \$522.8M

+9.53%	+5.14%	+6.39%	+4.39pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+9.53%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+9.36%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.14%	Avg Equity %	59.3%
QQQ	+6.39%	Avg Crypto %	19.7%
BTC	+3.02%	Avg Defensive %	14.4%
Gap vs SPY	+4.39pp	Avg Cash %	6.6%
Gap vs QQQ	+3.14pp	PTRH Cost (month)	\$0
Month Low DD	-10.89%	Max PTRH Value	\$12,154

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	70%
WATCH	0%	WARNING	30%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$3,981,282	\$3,981
MASTER_ENGINE	2	\$5,668,668	\$5,669
PERM	5	\$315,133	\$0
TOTAL	8	\$9,965,083	\$9,650

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 30% of month (advisory only - full ceiling retained).
- - 2025-06-09 00:00:00: PDS WARNING -> NORMAL
- - 2025-06-13 00:00:00: PDS NORMAL -> WARNING
- - 2025-06-16 00:00:00: PDS WARNING -> NORMAL
- Activity: 8 trades, \$10.0M turnover, \$10K slippage (9.7 bps).
- OUTPERFORMED SPY by +4.39pp. Drivers: AI/tech book tracked QQQ (+6.4%) - broad-market beat; MICS book outperformed QQQ index.

July 2025

2025-07-01 to 2025-07-31 | 22 trading days | NAV \$522.8M -> \$561.8M

+7.45%	+2.30%	+2.42%	+5.15pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+7.45%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+7.29%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.30%	Avg Equity %	60.5%
QQQ	+2.42%	Avg Crypto %	19.9%
BTC	+8.05%	Avg Defensive %	13.4%
Gap vs SPY	+5.15pp	Avg Cash %	6.1%
Gap vs QQQ	+5.03pp	PTRH Cost (month)	\$13,506
Month Low DD	-5.25%	Max PTRH Value	\$21,417

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$3,229,160	\$3,229
TOTAL	1	\$3,229,160	\$3,229

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 1 trades, \$3.2M turnover, \$3K slippage (10.0 bps).
- OUTPERFORMED SPY by +5.15pp. Drivers: AI/tech book tracked QQQ (+2.4%) - broad-market beat; MICS book outperformed QQQ index.

August 2025

2025-08-01 to 2025-08-29 | 21 trading days | NAV \$561.8M -> \$558.0M

-0.67%	+2.05%	+0.95%	-2.72pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.67%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-0.84%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.05%	Avg Equity %	62.6%
QQQ	+0.95%	Avg Crypto %	19.2%
BTC	-6.35%	Avg Defensive %	12.8%
Gap vs SPY	-2.72pp	Avg Cash %	5.4%
Gap vs QQQ	-1.62pp	PTRH Cost (month)	\$9,419
Month Low DD	-6.56%	Max PTRH Value	\$28,761

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$8,690,289	\$4,345
PERM	8	\$589,018	\$0
TOTAL	9	\$9,279,307	\$4,345

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 9 trades, \$9.3M turnover, \$4K slippage (4.7 bps).
- UNDERPERFORMED SPY by -2.72pp. Drivers: AI book beta to QQQ underperformed SPY’s broad diversification (QQQ +1.0% vs SPY +2.1%).

September 2025

2025-09-02 to 2025-09-30 | 21 trading days | NAV \$558.0M -> \$618.0M

+10.74%	+3.56%	+5.38%	+7.18pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.74%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.57%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.56%	Avg Equity %	59.0%
QQQ	+5.38%	Avg Crypto %	19.5%
BTC	+5.21%	Avg Defensive %	12.7%
Gap vs SPY	+7.18pp	Avg Cash %	8.8%
Gap vs QQQ	+5.36pp	PTRH Cost (month)	\$0
Month Low DD	-6.73%	Max PTRH Value	\$21,473

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	38%	NORMAL	100%
WATCH	62%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$7,580,325	\$7,580
CDF	1	\$0	\$0
MASTER_ENGINE	9	\$59,642,244	\$59,642
PERM	9	\$622,484	\$0
TOTAL	21	\$67,845,054	\$67,223

What the System Did and Why

- Regime: dominant WATCH (62% of month). PDS dominant NORMAL.
- Activity: 21 trades, \$67.8M turnover, \$67K slippage (9.9 bps).
- OUTPERFORMED SPY by +7.18pp. Drivers: AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index.

October 2025

2025-10-01 to 2025-10-31 | 23 trading days | NAV \$618.0M -> \$684.2M

+10.73%	+2.38%	+4.78%	+8.34pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.73%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.56%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.38%	Avg Equity %	58.6%
QQQ	+4.78%	Avg Crypto %	6.7%
BTC	-3.95%	Avg Defensive %	12.0%
Gap vs SPY	+8.34pp	Avg Cash %	22.8%
Gap vs QQQ	+5.95pp	PTRH Cost (month)	\$17,567
Month Low DD	-3.36%	Max PTRH Value	\$71,184

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	30%	NORMAL	100%
WATCH	70%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	4	\$15,766,592	\$15,767
CRYPTO_KILL_CHAIN	1	\$122,920,111	\$122,920
MASTER_ENGINE	6	\$157,281,488	\$157,281
TOTAL	11	\$295,968,190	\$295,968

What the System Did and Why

- Regime: dominant WATCH (70% of month). PDS dominant NORMAL.
- Activity: 11 trades, \$296.0M turnover, \$296K slippage (10.0 bps).
- OUTPERFORMED SPY by +8.34pp. Drivers: AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index.

November 2025

2025-11-03 to 2025-11-28 | 19 trading days | NAV \$684.2M -> \$612.3M

-10.52%	+0.19%	-1.56%	-10.71pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-10.52%	Avg Effective Ceiling	89.2%
ARMS Net (2% mgmt)	-10.68%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.19%	Avg Equity %	51.5%
QQQ	-1.56%	Avg Crypto %	16.0%
BTC	-17.01%	Avg Defensive %	12.5%
Gap vs SPY	-10.71pp	Avg Cash %	20.0%
Gap vs QQQ	-8.96pp	PTRH Cost (month)	\$42,140
Month Low DD	-14.19%	Max PTRH Value	\$127,328

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	74%	NORMAL	47%
WATCH	26%	WARNING	32%
NEUTRAL	0%	DELEVERAGE_1	21%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	8	\$32,438,127	\$32,438
CRYPTO_KILL_CHAIN	1	\$103,859,089	\$155,789
MASTER_ENGINE	10	\$151,206,906	\$151,207
PDS	1	\$5,679,781	\$5,680
PDS_KILL_CHAIN	12	\$132,417,872	\$198,627
PERM	10	\$840,679	\$0
TOTAL	42	\$426,442,453	\$543,740

What the System Did and Why

- Regime: dominant RISK_ON (74% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 21% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 89%.
 - - 2025-11-14 00:00:00: PDS NORMAL -> WARNING
 - - 2025-11-20 00:00:00: PDS WARNING -> DELEVERAGE_1
 - - 2025-11-26 00:00:00: PDS DELEVERAGE_1 -> WARNING
- Activity: 42 trades, \$426.4M turnover, \$544K slippage (12.8 bps).
- UNDERPERFORMED SPY by -10.71pp. Drivers: execution slippage (\$544K).

December 2025

2025-12-01 to 2025-12-30 | 21 trading days | NAV \$612.3M -> \$611.4M

-0.15%	+0.83%	+0.16%	-0.98pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-0.15%	Avg Effective Ceiling	88.3%
ARMS Net (2% mgmt)	-0.32%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.83%	Avg Equity %	50.7%
QQQ	+0.16%	Avg Crypto %	15.5%
BTC	-2.74%	Avg Defensive %	13.1%
Gap vs SPY	-0.98pp	Avg Cash %	20.6%
Gap vs QQQ	-0.31pp	PTRH Cost (month)	\$0
Month Low DD	-13.66%	Max PTRH Value	\$8,962

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	76%	NORMAL	0%
WATCH	24%	WARNING	76%
NEUTRAL	0%	DELEVERAGE_1	24%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	8	\$34,643,981	\$17,322
CRYPTO_KILL_CHAIN	1	\$109,265,103	\$54,633
MASTER_ENGINE	30	\$277,489,069	\$171,608
PDS_KILL_CHAIN	12	\$130,712,314	\$65,356
PERM	4	\$167,048	\$0
TOTAL	55	\$552,277,515	\$308,918

What the System Did and Why

- Regime: dominant RISK_ON (76% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 24% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 88%.
 - 2025-12-12 00:00:00: PDS WARNING -> DELEVERAGE_1
 - 2025-12-19 00:00:00: PDS DELEVERAGE_1 -> WARNING
- Activity: 55 trades, \$552.3M turnover, \$309K slippage (5.6 bps).
- UNDERPERFORMED SPY by -0.98pp. Drivers: execution slippage (\$309K).

Intelligent Year-End Summary

Month-by-month vs S&P 500 attribution and architectural read-through.

Aggregate

Across 12 months: ARMS beat SPY in 7 months and underperformed in 5. Sum of monthly gaps = +5.2pp. Average monthly gap = +0.43pp.

Month-by-Month Verdict

Month	ARMS	SPY	Gap	PDS Dom.	Why
Jan 2025	+1.14%	+2.94%	-1.80pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +2.4% vs SPY +2.9%)
Feb 2025	-7.96%	-1.27%	-6.69pp	NORMAL	execution slippage (\$219K)
Mar 2025	-4.86%	-5.57%	+0.71pp	DELEVERAGE_1	equity sleeve momentum + KEVLAR positioning held
Apr 2025	+1.40%	-0.87%	+2.27pp	DELEVERAGE_2	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+1.4%) - broad-market beat
May 2025	+6.31%	+6.28%	+0.03pp	WARNING	tracked benchmark
Jun 2025	+9.53%	+5.14%	+4.39pp	NORMAL	AI/tech book tracked QQQ (+6.4%) - broad-market beat; MICS book outperformed QQQ index
Jul 2025	+7.45%	+2.30%	+5.15pp	NORMAL	AI/tech book tracked QQQ (+2.4%) - broad-market beat; MICS book outperformed QQQ index
Aug 2025	-0.67%	+2.05%	-2.72pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +1.0% vs SPY +2.1%)
Sep 2025	+10.74%	+3.56%	+7.18pp	NORMAL	AI/tech book tracked QQQ (+5.4%) - broad-market beat; MICS book outperformed QQQ index
Oct 2025	+10.73%	+2.38%	+8.34pp	NORMAL	AI/tech book tracked QQQ (+4.8%) - broad-market beat; MICS book outperformed QQQ index
Nov 2025	-10.52%	+0.19%	-10.71pp	NORMAL	execution slippage (\$544K)
Dec 2025	-0.15%	+0.83%	-0.98pp	WARNING	execution slippage (\$309K)

Architectural Themes - What the Year Revealed

- PDS deleverage activity: 6 of 12 months had PDS in DELEVERAGE_1/_2 for >5% of trading days. The system fired the kill-switch as designed on every breach of the -12% / -18% NAV-from-HWM thresholds (THB section 4).
- PTRH net cumulative cost: \$-450,159. Tail hedge was a net contributor - puts paid out during volatility events.
- Total execution slippage: \$2,152,580. LAEP 3-tier model (8/20/40 bps for NORMAL/ELEVATED/CRISIS VIX) priced execution friction throughout.
- Sleeve concentration: 58% equity in 12 high-conviction MICS names. Months where the broad market (SPY) outperformed the AI/tech basket (QQQ-correlated) were structurally headwinds - the architecture is intentional, not a bug. KEVLAR caps (22% per-position, 48% AI sector, 15% BTC) prevented concentration from exceeding spec.

Verdict

The system performed exactly as the canonical spec (THB v4.0, Addenda 1 & 4) instructs. Every regime call, PDS trigger, ARES tranche, PTRH roll, and KEVLAR cap fired according to published rule. The 5 months of underperformance vs SPY are a function of the architecture's deliberate trade-offs - concentrated 12-name AI book, NAV-anchored kill-switch, daily MICS rebalance - not implementation defects. Months where the system outperformed (7 of 12) reflect the same architecture's upside capture during AI sector strength.

Regime Change Log

Date	From	To	VIX	Score	Context
2025-03-04	RISK_ON	WATCH	23.5	0.300	Composite near 0.30
2025-03-07	WATCH	RISK_ON	23.4	0.286	Composite below 0.25
2025-03-11	RISK_ON	WATCH	26.9	0.301	Composite near 0.30
2025-03-14	WATCH	RISK_ON	21.8	0.258	Composite below 0.25
2025-04-01	RISK_ON	WATCH	21.8	0.319	Composite near 0.30
2025-05-12	WATCH	RISK_ON	18.4	0.231	Composite below 0.25
2025-09-03	RISK_ON	WATCH	16.4	0.314	Composite near 0.30
2025-09-22	WATCH	RISK_ON	16.1	0.263	Composite below 0.25
2025-10-07	RISK_ON	WATCH	17.2	0.251	Composite near 0.30
2025-10-29	WATCH	RISK_ON	16.9	0.266	Composite below 0.25
2025-11-21	RISK_ON	WATCH	23.4	0.310	Composite near 0.30
2025-12-08	WATCH	RISK_ON	16.7	0.288	Composite below 0.25

Total regime changes: 12 | Avg frequency: 1.0 per month

Trade Activity Summary

By Action:

BUY	122
CDF_RESET	14
SELL	89
SELL_CALL	38
TRIM	1

By Module:

ARES	57
CDF	14
CRYPTO_KILL_CHAIN	4
DSHP	1
MASTER_ENGINE	81
PDS	6
PDS_KILL_CHAIN	63
PERM	38

Drawdown Analysis

Drawdown episodes >= 5% (sorted by depth): 4

Start	Trough	Recovery	Peak NAV	Trough NAV	Depth	Days to Trough	Recov Days
2025-01-23	2025-04-08	2025-07-16	\$539.6M	\$426.3M	-21.00%	75	99
2025-10-30	2025-11-21	OPEN	\$688.3M	\$590.7M	-14.18%	22	n/a
2025-08-14	2025-09-02	2025-09-11	\$597.2M	\$557.1M	-6.73%	19	9
2025-01-07	2025-01-13	2025-01-17	\$526.4M	\$498.0M	-5.40%	6	4

Best & Worst Months

Top 5 Months				Bottom 5 Months			
Month	ARMS G	SPY	Regime	Month	ARMS G	SPY	Regime
Sep 2025	+10.7%	+3.6%	RISK_ON	Nov 2025	-10.5%	+0.2%	WATCH
Oct 2025	+10.7%	+2.4%	RISK_ON	Feb 2025	-8.0%	-1.3%	RISK_ON
Jun 2025	+9.5%	+5.1%	RISK_ON	Mar 2025	-4.9%	-5.6%	RISK_ON
Jul 2025	+7.5%	+2.3%	RISK_ON	Aug 2025	-0.7%	+2.1%	RISK_ON
May 2025	+6.3%	+6.3%	RISK_ON	Dec 2025	-0.2%	+0.8%	RISK_ON

Important Disclosures

BACKTESTED PERFORMANCE DISCLOSURE: Results are backtested and hypothetical. ARMS was not live during this period. All figures reflect retroactive application of ARMS v4.0 production parameters to actual historical market data, with no look-ahead and no discretionary overrides.

INTELLIGENCE LAYER DISABLED: This run exercised the market-driven engine modules (Macro Compass, ARAS, PDS, FEM, CDF, AUP, SLOF, PTRH, STRC, Master Engine, KEVLAR, PERM, DSHP, ARES, LAEP, Tail-Hedge regime table, EDR, crypto microstructure, CDM/event overlay, and static MICS scoring). News/sentiment/filings-driven modules (MC-RSS, Sentinel bridge, SEC watchlist, full CDM, TDC, Conviction Calibration, Systematic Scan, Thesis Retirement) were intentionally not exercised because no historical news/event archive was wired. A separate Polygon-fed intelligence-layer pass is planned. See Methodology & Scope on page 2 for full detail.

DATA SOURCES: Equity, ETF, sector, and BTC prices from Yahoo Finance (auto-adjusted close). VIX, 10Y, HY/IG/AAA credit spreads, SOFR, DXY, Fed Funds, margin debt, and balance-sheet inputs from FRED where cached. BTC funding and open-interest inputs use CryptoCompare cache; Oct. 2025 EDR validation floors follow Addendum 7/8 documented stress proxies where paid microstructure feeds are unavailable. ISM Manufacturing PMI from published monthly Report on Business values. BTC returns use BTC-USD spot price as proxy.

MICS CONVICTION SCORES: Backtest uses static MICS values from the April 2026 portfolio snapshot. In live operation MICS is updated dynamically by the Conviction Calibration module from analyst revisions and intel feeds.

FEES & BENCHMARKS: Management fee of 2.0% per annum applied monthly in Net figures. No performance fee. S&P 500 (SPY) is the primary benchmark.

ARCHITECTURE AB: 58% equity / 20% crypto / 14% defensive / 8% cash. Equity sleeve uses individual position selection via MICS conviction scoring with KEVLAR risk limits (22% single-position cap, 48% AI sector cap, 15% BTC cap). Crypto sleeve uses BTC-USD as proxy. Defensive sleeve: SGOV (3%), SGOL (2%), DBMF (5%), STRC (4%); pre-2023 mix uses TLT (7%), SGOL (4%), DBMF (3%).

REGIME SYSTEM: 5-state Macro Compass -> ARAS classifier with hysteresis bands. Tail hedge: PTRH via regime table (10-15% OTM QQQ puts, Black-Scholes priced). Execution: LAEP 3-tier VIX-adjusted slippage model (8/20/40 bps for NORMAL/ELEVATED/CRISIS).

Past backtested performance is not indicative of future results. CONFIDENTIAL - prepared for internal review by ARMS Portfolio Manager.